NSECE Snapshot: How Much of Children's Child Care and Early Education Participation in 2019 Was Publicly Funded?



OPRE Report #2024-132
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Summary Findings. This snapshot uses household reports of participation in child care and early education (CCEE) to estimate percentages of children younger than 60 months who participated in center-based or paid individual care arrangements, and the proportion of those that participated in publicly funded and non-publicly funded care arrangements. Using data from the 2012 and 2019 National Survey of Early Care and Education, which each included nationally representative data on households with young children, this snapshot focuses on rates of participation in 2019 and changes in participation from 2012 to 2019. We observe differences in rates of participation based on child age, household income, and parent employment status.

In the U.S. in 2019, public funding of child care and early education (CCEE) could come from a variety of programs and levels of government (federal, state, or local). This snapshot uses household reports to estimate percentages of children younger than 60 months who participated in that year in one of two types of publicly funded CCEE arrangements: center-based care or paid care by an individual in a home-based setting, which we refer to as paid individual care throughout this snapshot. We say that a child participated in a publicly funded care arrangement if that child's care arrangement was supported by any public funds, defined by either a parental report of public agency support or zero out-of-pocket costs for center-based care or paid individual arrangements (defined further in Key Terms, below). Using household reports allows us to document child age, income, and parental employment status-related differences in children's participation in publicly funded and non-publicly funded care arrangements. We found in 2019 that less than half of children younger than 60 months experienced a formal arrangement in either center-based or paid individual care and less than half of these arrangements were publicly funded.

About the NSECE. The National Survey of Early Care and Education (NSECE) is a set of four integrated, nationally representative surveys conducted in 2012 and 2019. These were surveys of 1) households with children under 13, 2) home-based providers of CCEE, 3) center-based providers of CCEE, and 4) the center-based provider workforce. Together, they characterize the supply of and demand for early care and education in America in 2012 and 2019 and permit better understanding of how well families' needs and preferences

Between 2012 and 2019, participation in publicly funded arrangements especially increased among children 36 through 59 months in higher-income households (≥ 200% federal poverty level (FPL))[1]

Key Terms

Center-based CCEE Arrangements A center-based arrangement is one in which a child not yet in kindergarten regularly (5 hours or more per week) receives care in a non-residential setting. Head Start, public pre-K, faith-based nursery schools, or private preschools can all be classified as center-based arrangements. However, arrangements that a child attends only for before/after school wrap-around care, on a drop-in basis, or single activity care are not categorized as center-based arrangements.

Paid Individual CCEE Arrangements A paid individual arrangement is one in which a child regularly (5 hours or more per week) receives care from an individual in a home-based setting who is paid for that child's care. The provider may or may not have had a prior relationship with the child's household. Examples of paid individual care include family child care providers, babysitters who were known or unknown to the family prior to providing care, or friends and family who are paid to provide care. Although the predominant public funding source for paid individual care is child care subsidies, both Head Start and some public pre-K programs have small components that include care from individuals.

Publicly funded (Center-based or Paid Individual) CCEE Arrangements A CCEE arrangement is described as publicly funded under one of two conditions: 1) the parent reported that a public agency helped pay for the child's participation in the arrangement, and/or 2) the parent reported zero out-of-pocket costs to the household for the child's participation in the center-based or paid individual arrangement. These zero cost arrangements could be, for example, center-based Head Start or public pre-K arrangements, or an individual arrangement where the provider receives payment for the child's care from a subsidy, but the parent does not have co-payments.

[1] The analysis uses 200% FPL as a cutoff between lower- and higher-income households. The 200% FPL threshold covers households eligible for Child Care and Development Fund (CCDF) subsidies in most states, while also allowing for large enough sample sizes for reporting most categories in this snapshot.

What do the data show?

Center-based CCEE

- Between 2012 and 2019 there was no change in the percentage of children under 36 months who participated in any center-based arrangement. However, between 2012 and 2019 there was a significant increase in the percentage of children under 36 months who were in publicly funded center-based care arrangements—from 3.3% in 2012 to 6.2% in 2019.
    - Between 2012 and 2019, the percentage of children in this age group in publicly funded center-based arrangements increased significantly whether they were in lower-income (< 200% FPL) or higher-income (≥200% FPL) households. The percentage of children under 36 months who participated in publicly funded center-based arrangements increased from 4.0% in 2012 to 7.8% in 2019 among children in lower-income households, and from 2.4% in 2012 to 4.7% in 2019 among children in higher-income households.
- There was no difference between 2012 and 2019 in the percentage of children 36 through 59 months who participated in any center-based arrangement. However, the percentage of all children 36 through 59 months who were in publicly funded center-based arrangements increased significantly, from 13.9% in 2012 to 17.3% in 2019.
    - Among higher-income households, the percentage of children 36 through 59 months who were in publicly funded center-based arrangements increased significantly—from 6.9% in 2012 to 13.6% in 2019. There was no statistically significant change from 2012 to 2019 in the percentage of children in this age group in lower-income households who were participating in publicly funded center-based arrangements.
    - Between 2012 and 2019, there was a significant increase in the percentage of children 36 through 59 months in higher-income households where all parents work (fully employed households) participating in publicly funded center-based care arrangements.
        - Among children 36 through 59 months in higher-income households where parents were fully employed, the percentage participating in publicly funded center-based care increased, from 8.0% in 2012 to 14.7% in 2019.

Paid Individual CCEE

- Between 2012 and 2019, there was a significant decrease in the percentage of children under 36 months participating in any paid individual care arrangement—from 16.8% in 2012 to 13.7% in 2019. However, between 2012 and 2019 there was no change in the percentage of children under 36 months participating in publicly funded paid individual arrangements.

- Between 2012 and 2019 there was no change in the percentage of children 36 through 59 months participating in paid individual care arrangements. However, between 2012 and 2019 there was a significant increase in the percentage of children 36 through 59 months who were in publicly funded paid individual care arrangements—from 0.9% in 2012 to 2.4% in 2019.

Estimates by Child Age, Household Income, and Parental Employment

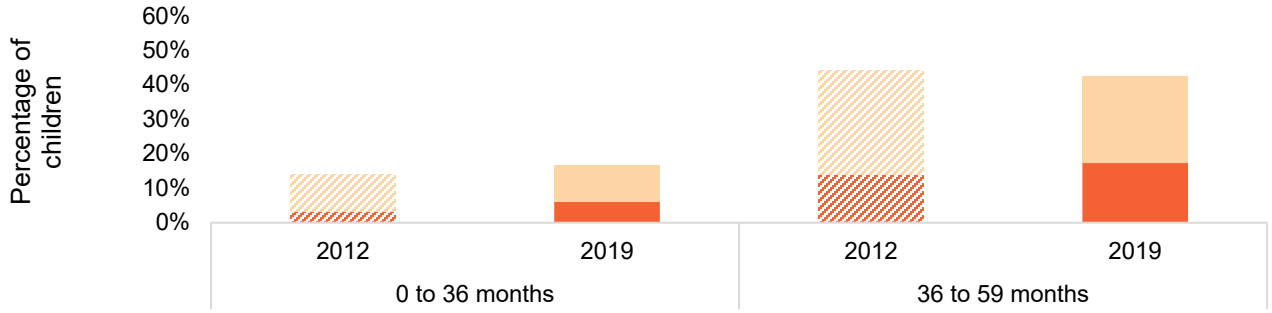
Center-based CCEE

We found that the percentages of children participating in any center-based care arrangement were relatively the same in 2012 and 2019. Participation in any center-based care was consistent for children by age group, household income, and parental employment. However, the percentage of children participating in *publicly funded* center-based arrangements (as reported by households) varied between 2012 and 2019 by child age group, household income, and parental employment. In this section, percentages report the number of children in a given category participating in a center-based care arrangement (and whether that arrangement was publicly funded or not as reported by the household), divided by the total number of children in that category (for example, by child age group, or by child age group and household category (e.g., children under 36 months in households under 200% FPL).

Exhibit 1 shows the percentage of children in 2012 and 2019, by age group, who participated in center-based CCEE arrangements, and whether or not that participation was publicly funded as reported by the household. Between 2012 and 2019 there was no change in the percentage of children under 36 months participating in any center-based arrangement. However, between 2012 and 2019 there was a significant increase in the percentage of children under 36 months who participated in publicly funded center-based arrangements—from 3.3% in 2012 to 6.2% in 2019.

Exhibit 1. Children in Center-based Care by Public Funding Status and Year

(Ages under 59 months)

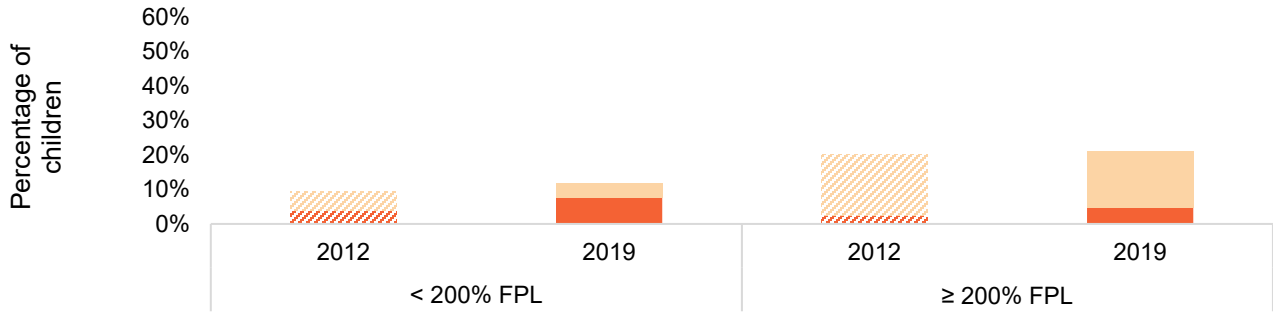


	0 to 36 months		36 to 59 months	
	2012	2019	2012	2019
No public funding	10.7%	10.6%	30.3%	25.2%*
Public funding	3.3%	6.2%*	13.9%	17.3%*

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Between 2012 and 2019 there was no change in the overall percentage of children 36 through 59 months participating in center-based care arrangements (Exhibit 1). However, between 2012 and 2019 there was a significant increase in the percentage of children 36 through 59 months who participated in publicly funded center-based care arrangements—from 13.9% in 2012 to 17.3% in 2019. Additionally, between 2012 and 2019 there was a significant decrease in the percentage of children 36 through 59 months who participated in non-publicly funded center-based care arrangements—from 30.3% in 2012 to 25.2% in 2019. This shows that rather than an increase in center-based participation of children 36 through 59 months, there was a shift of children's participation from non-publicly funded to publicly funded arrangements.

Exhibit 2. Children in Center-based Care by Public Funding Status, Household Income, and Year (Ages under 36 months)



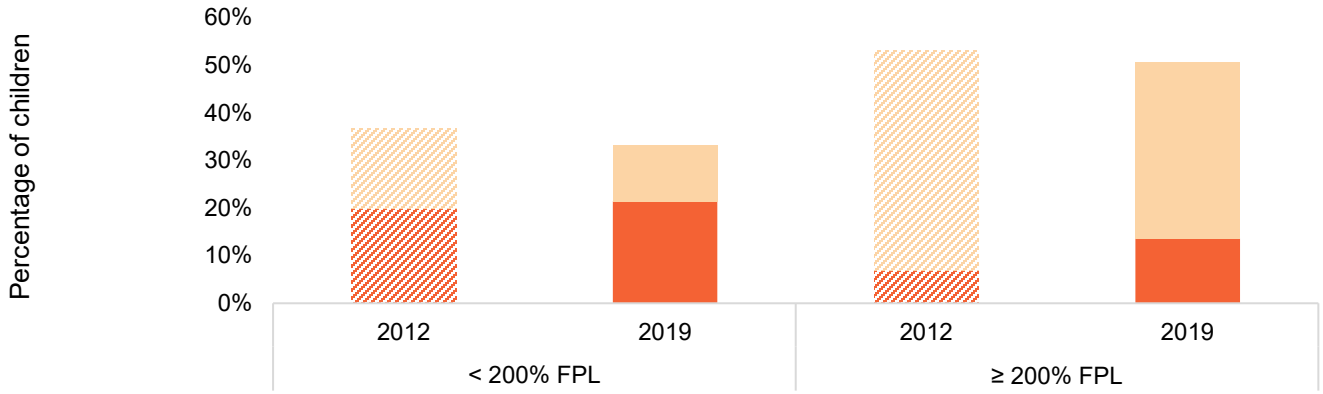
	< 200% FPL		≥ 200% FPL	
No public funding	5.3%	4.1%	17.7%	16.4%
Public funding	4.0%	7.8%*	2.4% !	4.7%*

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Exhibit 2 shows the percentage of children under 36 months across household income categories who were in center-based arrangements in 2012 and 2019 as reported by the household. Between 2012 and 2019, participation in publicly funded center-based care arrangements increased among children under 36 months in households with lower incomes (under 200% FPL), from 4.0% in 2012 to 7.8% in 2019. Between 2012 and 2019 participation also increased for children in households with higher incomes (200% FPL or greater), from 2.4% in 2012 to 4.7% in 2019.

Exhibit 3 shows the percentage of children 36 through 59 months across household income categories who were in center-based arrangements in 2012 and 2019 as reported by the household. Between 2012 and 2019, participation in publicly funded center-based arrangements for children in this age group in higher income households (200% FPL or greater) nearly doubled, from 6.9% in 2012 to 13.6% in 2019. During the same time period, between 2012 and 2019, participation in non-publicly funded center-based care arrangements for this group of children decreased, from 46.2% in 2012 to 37.2% in 2019. Participation in publicly funded center-based arrangements for children in this age group in lower income households (under 200% FPL) did not significantly change. However, participation in non-publicly funded center-based arrangements for children in this age group in lower income households decreased, from 16.9% in 2012 to 11.9% in 2019.

Exhibit 3. Children in Center-based Care by Public Funding Status, Household Income, and Year (Ages 36 through 59 months)

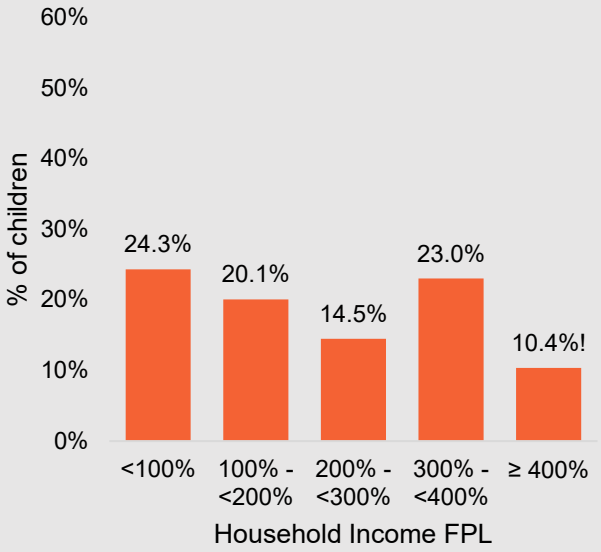


	< 200% FPL		≥ 200% FPL	
	2012	2019	2012	2019
No public funding	16.9%	11.9%*	46.2%	37.2%*
Public funding	19.8%	21.4%	6.9%	13.6%*

Significance Testing * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Increase in Use of Publicly Funded Care for Children 36-59 Months Among Higher-Income Households

A key finding is that older children (36 through 59 months) in higher-income households were more likely to participate in publicly funded center-based arrangements in 2019 than in 2012 (Exhibit 3). The graph on the right shows the proportion of children 36-59 months in publicly funded center-based arrangements by household income in 2019, with household income split into finer categories for closer examination of participation in publicly-funded center-based arrangements by household income. The graph indicates that participation rates vary across income categories within the group defined as 200% FPL or greater.



Note: ! indicates a cell count between 20-49; these estimates should be interpreted with caution.

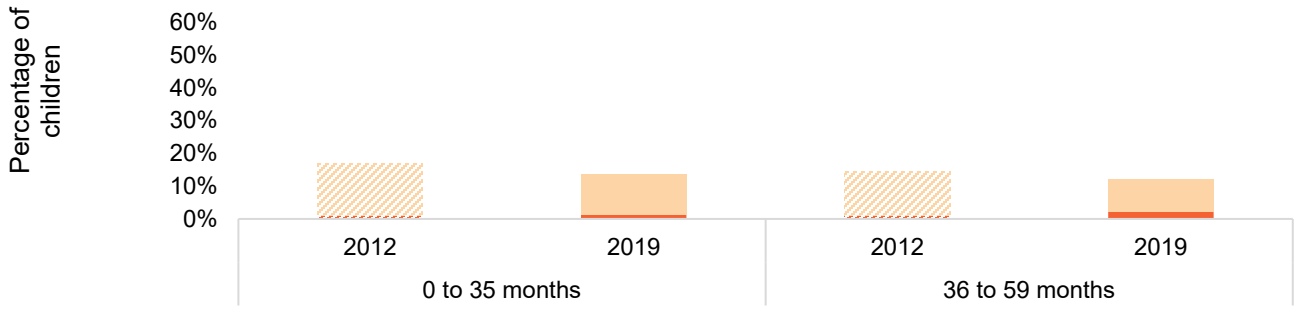
Paid Individual CCEE

In this section, percentages report the number of children in a given category participating in an individual care arrangement (and whether that arrangement was publicly funded or not as reported by the household), divided by the total number of children in that category (for example, by child age group (children under 36 months), or by child age group and household income category (children under 36 months in households under 200% FPL).

Among children under 36 months, percentages of children participating in any paid individual CCEE decreased slightly in 2019 from 2012, in both lower- and higher-income households. However, the percentages of children in publicly funded paid individual arrangements did not change for this age group, regardless of income or parent employment status. For children 36 through 59 months, participation in publicly funded paid individual care arrangements increased slightly, particularly for those in higher-income households.

Exhibit 4 shows children's participation in paid individual care arrangements, by age group and by public funding status in 2012 and 2019. Rates of participation are similar for children under 36 months and those 36 to 59 months. In contrast, rates for center-based care arrangements, differed across the two age groups (Exhibit 1). There was a slight, but statistically significant, decrease in the participation in any paid individual care arrangements among children under 36 months in 2019 from 2012. Non-publicly funded individual care declined from 15.9% in 2012 to 12.5% in 2019. A smaller increase in publicly-funded care from 0.9% in 2012 to 1.2% in 2019 was not enough to off-set the decline in non-publicly funded care.

Exhibit 4 Children in Paid Individual Care by Public Funding Status and Year (Ages under 59 months)



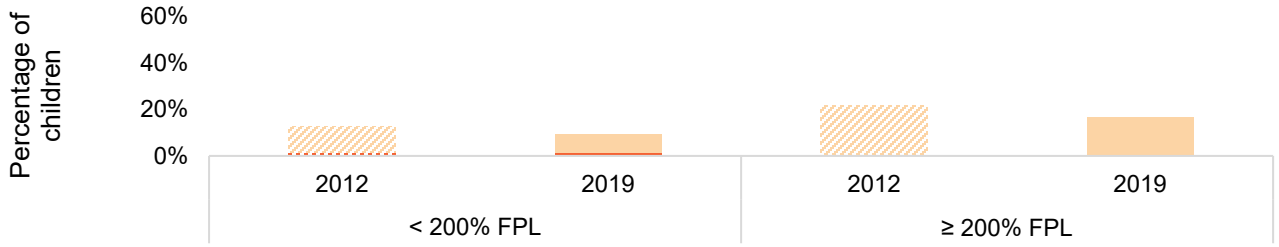
	0 to 35 months		36 to 59 months	
	2012	2019	2012	2019
No public funding	15.9%	12.5%*	13.5%	9.8%*
Public funding	0.9% !	1.2% !	0.9% !	2.4%*

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

While there was no change in participation in any paid individual care arrangement among children ages 36 through 59 months between 2012 and 2019, there was an increase in participation in publicly funded paid individual arrangements (0.9% to 2.4%).

Exhibit 5 shows participation of children under 36 months in paid individual care arrangements by public funding status and household income, across years. There was a decrease in participation in any paid individual care arrangement among children under 36 months in households in both income groups between 2012 to 2019. Estimates for the proportion of publicly funded paid individual care arrangements among children under 36 months in higher-income households are suppressed due to small sample sizes, reflecting imprecise estimates. The decrease in participation in any paid individual care arrangement corresponded with a decrease in participation in non-publicly funded paid individual care arrangements among children under 36 months in both income groups between 2012 and 2019 (11.3% to 7.8% among children in lower-income households and 21.9% to 16.7% among children in higher-income households).

Exhibit 5. Children in Paid Individual Care by Public Funding Status, Household Income, and Year (Ages under 36 months)

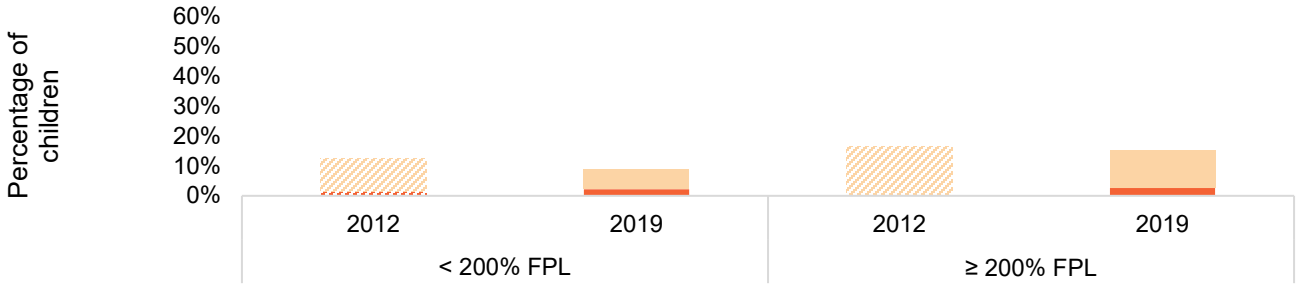


	< 200% FPL		≥ 200% FPL	
	2012	2019	2012	2019
No public funding	11.3%	7.8%*	21.9%	16.7%*
Public funding	1.4% !	1.4% !	‡	‡

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Exhibit 6 shows children's participation in paid individual care arrangements by public funding status and household income, across years, for children 36-59 months. Among children 36 through 59 months, there was no change in the percentage of children participating in any paid individual care arrangement (Exhibit 4), but there was an increase in participation in publicly funded paid individual arrangements for children in this age group in higher-income households (those 200% FPL or greater; estimates for 2012 are not shown because so few children are reported in publicly funded paid individual arrangements that the exact percentage is difficult to estimate. The 2019 estimate is also imprecisely estimated, but clearly very low.)

Exhibit 6. Children in Paid Individual Care by Public Funding Status, Household Income, and Year (Ages 36 through 59 months)



	< 200% FPL		≥ 200% FPL	
No public funding	11.0%	6.7%*	16.5%	12.6%
Public funding	1.4% !	2.2% !	‡	2.6%* !

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Estimates by Child Age, Household Income and Parental Employment Status

Parental Employment Status

Households are characterized based on work-related activities such as schooling, training and full or part-time employment of parents residing in the home, based on reported parental schedules for the prior week. **Fully employed** indicates a household where all parents work: a one-parent/one-working parent household or a two-parent/two-working-parents household. **Some or no parents employed** includes both one and two-parent households in which no parent had work-related activities or when one parent (of the two) is working.

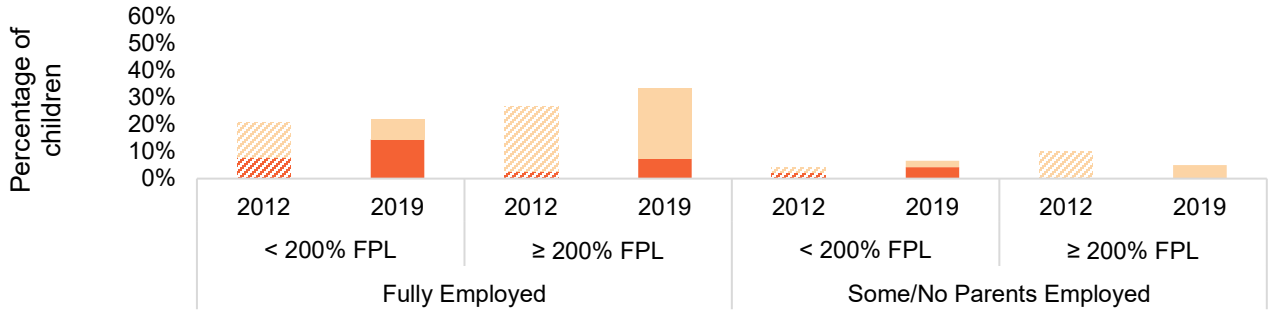
The table below provides the number of children under 60 months living in households by parental employment status and household income in 2019:

	< 200 % FPL	≥ 200% FPL
Fully Employed	**3.42M**	**6.03M**
Some/No Parents Employed	**5.62M**	**4.12M**

Exhibits 7 through 10 display percentages of center-based and paid individual arrangement participation by the employment status of parents in the household, as well as child age and household income. “Fully employed” indicates either the sole parent (in a single-parent household) or both parents (in a two-parent household) were engaged in work-related activities in the prior week. “Some or no parents employed” includes both one and two-parent households in which no parent had work-related activities in the past week and two-parent households where only one parent reported working out of the two. In households with some or no parents employed at least one parent was not engaged in work-related activities in the prior week and may be available to care for children.

Exhibit 7 shows the percentages of children participating in any center-based arrangement among children under 36 months by parental employment status, across household income groups and years. In 2019 compared to 2012, fewer children participated in non-publicly funded center-based arrangements in households with income 200% FPL or greater and with some/no parents employed. For children in fully employed households, participation in publicly funded center-based care arrangements increased substantially from 2012 to 2019 in both lower-income (7.7% to 14.5%) and higher-income households (2.8% to 7.5%)

Exhibit 7. Children in Center-based Care by Public Funding Status, Parental Employment, and Year (Ages under 36 months)

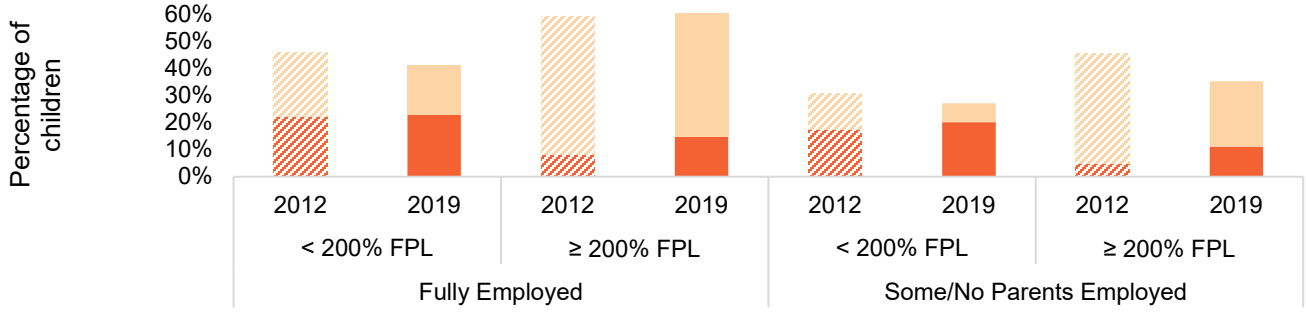


No public funding	13.1%	7.4%*	23.9%	26.0%	1.9% !	2.4% !	10.1%	5.0%* !
Public funding	7.7%	14.5%*	2.8% !	7.5%*	2.3% !	4.2%	‡	‡

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Exhibit 8 shows percentages of children between 36 and 59 months in fully employed households and with some/no parents employed, by income group, that participated in center-based care arrangements in 2012 and 2019. There was an increase in children using publicly funded center-based arrangements among fully employed, higher-income households (from 8.0% to 14.7%).

Exhibit 8. Children in Center-based Care by Public Funding Status, Parental Employment, and Year (Ages 36 through 59 months)

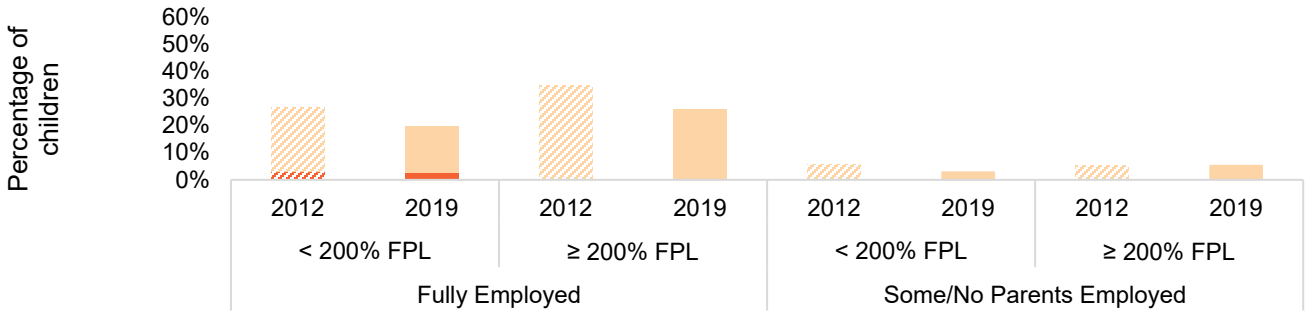


No public funding	23.3%	18.1%	51.1%	45.6%	13.2%	6.9%*	40.5%	24.2%*
Public funding	22.4%	22.9%	8.0%	14.7%*	17.4%	20.1%	5.0% !	11.1% !

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Exhibit 9 shows percentages of children under 36 months by parental employment status in paid individual care arrangements across income categories and years. Proportions of participation in publicly funded paid individual care arrangements were similar in 2012 and 2019 (some point estimates are not shown because of small numbers in these categories, but the suppression of these estimates indicates that the incidence of publicly funded individual care is very low for children in those categories).

Exhibit 9. Children in Paid Individual Care by Public Funding Status, Parental Employment, Household Income, and Year (Ages under 36 months)

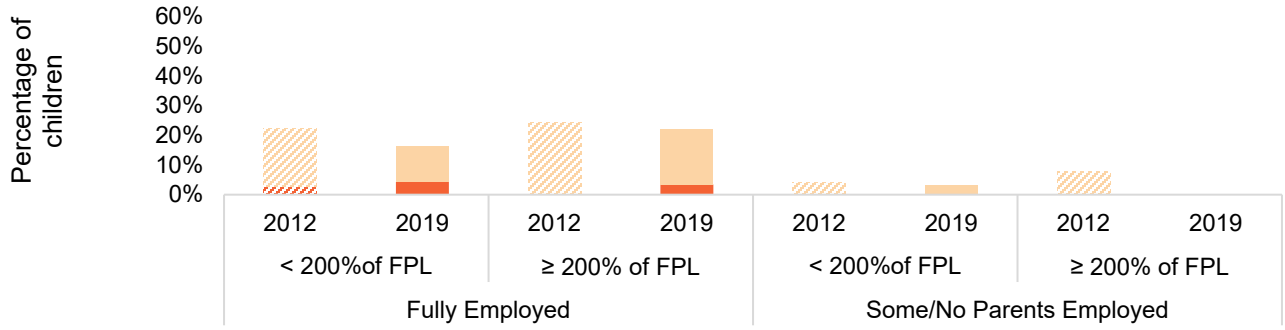


No public funding	23.6%	17.1%*	34.6%	26.1%*	5.5%	3.1%* !	5.3% !	5.5% !
Public funding	2.9% !	2.7% !	‡	‡	‡	‡	‡	‡

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Exhibit 10 shows the proportion of children participating in paid individual care arrangements by parental employment status, for children 36 through 59 months, across income categories and years. Participation in publicly funded paid individual care arrangements increased for children in higher-income households where all parents were employed, to 3.4% in 2019 (note that due to small sample sizes in some categories, including publicly funded paid individual care for children in higher-income households with all parents employed in 2012, there is uncertainty in these estimates, as indicated in the exhibit note).

Exhibit 10. Children in Paid Individual Care by Public Funding Status, Parental Employment, Household Income, and Year (Ages 36 through 59 months)



No public funding	19.7%	11.8%*	24.3%	18.6%	4.1%	3.3% !	7.7% !	‡
Public funding	2.6% !	4.3% !	‡	3.4%* !	‡	‡	‡	‡

Significance Testing: * ≤ 0.05 reflects differences between 2012 NSECE and 2019 NSECE. ‡ indicates a cell count less than 20 and therefore, is suppressed, with the estimate associated with that cell count signifying a non-zero percentage. ! indicates a cell count between 20-49; these estimates should be interpreted with caution.
Source: 2012 and 2019 NSECE Household Survey

Exhibits 9 and 10 show that in both 2012 and 2019, children in households with some or no parents employed had very limited participation in paid individual CCEE arrangements. Many of these estimates were suppressed due to small sample sizes, underscoring how few children were participating in publicly funded paid individual arrangements.

Conclusion

In 2019, less than half of children under 60 months experienced any center-based or paid individual care arrangement. Participation rates in any center-based or paid individual CCEE in 2019 and 2012 were similar, although we observed some decline in participation in paid individual care arrangements, especially for children under 36 months. In both years, we see that children 36-59 months are more likely to participate in center-based care than children under 36 months, and that children in higher-income households participate in center-based care more often than children in lower-income households. In both years we also see smaller, if any, age or income differences in participation in paid individual care.

For publicly funded arrangements, however, there were increases in participation from 2012 to 2019 in publicly funded center-based arrangements for children in both age groups and increases in publicly funded paid individual arrangements for older children. Interestingly, participation in publicly funded center-based and paid individual arrangements increased for children between 36 and 59 months (i.e., preschool-aged children) in higher-income families, while remaining similar to 2012 among lower-income families. In other words, a higher percentage of higher-income families reported publicly funded participation in care for their children 36 through 59 months in 2019 than in 2012.

Overall, between 2012 and 2019, the use of publicly funded arrangements either stayed the same or increased across all subgroups in this analysis – by CCEE setting, child age, household income and parental employment. In no instance did we observe a decrease in the use of publicly funded arrangements between 2012 and 2019.

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